cent. Reflecting the ongoing costs of demonetization, the RBI report for FY 17–18 showed that income in 2017–18 continued to remain lower than in each of the three preceding years, while costs remained twice as high. As a consequence, the ₹50,000 crore dividend declared for FY 17–18 was even lower than that declared in FY 13–14.[38]

Interestingly, the RBI's 2018 Annual Report also confirmed Subbarao's view that the money not extinguished remained an ongoing liability of the central bank, and hence transferred it to a special reserve, stating:

> An amount of ₹107.20 billion, representing the value of SBNs which has not been paid on June 30, 2018 and was forming part of liability head 'Notes issued', has been removed from balance of 'Notes issued' and transferred to specific head created for the purpose under 'Other Liabilities and Provisions'. All future payments of exchange value of SBNs to eligible tenderers under the Rules framed by the Government of India will be made out of the specific head.[39]

Far from being a blockbuster, the Demonetization Dividend turned out to be a wisp of smoke.

Dissenting Notes

One of the earliest dissenting voices to be raised against demonetization from the RBI family was that of K.C. Chakrabarty, a former Deputy Governor of the RBI.[40]

Countering the chorus of sycophantic voices that praised demonetization as a visionary and bold step that would transform India, his views were lucid and clear:[41]

> *It has no economic rationale. It does not serve any purpose.* Demonetization is a very blunt instrument, and it has to be used very judiciously and in a very very critical situation. Generally, in a normal situation, it doesn't give any results. The economic benefit is less and the cost is more. It is necessary to have a very effective pre-planning.

Explaining that demonetization cannot tackle the menace of black money, Chakrabarty said,